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Superior Court of California

County of Los Angeles – West District

Beverly Hills Courthouse / Department 205

THE REGENTS OF THE UNIVERSITY OF CALIFORNIA,

Plaintiff,

v.

LUCAS ROCKWELL, et al.,

Defendants.

Case No.: 24SMCP00630

Hearing Date: September 18, 2026

[TENTATIVE] ORDER RE:

THE REGENTS OF THE UNIVERSITY OF

CALIFORNIA'S MOTION FOR

DETERMINATION OF APPEAL AS A

MATTER OF LAW

BACKGROUND

This action involves an appeal from an administrative order. The appellant the Regents of the University of California appeals from an order by the Deputy Labor Commissioner of the Department of Industrial Relations ("DIR") which found that the Regents violated Cal. Lab. Code section 202, in failing to timely pay wages to Lucas Rockwell, a programmer at UCLA. The Commissioner awarded Rockwell 25 days of waiting time penalties at \$568.241 per day for a total of \$14,206.00.

The Regents argues that the Court should reverse the DIR's award because (1) Rockwell and/or the DIR are collaterally estopped from pursuing the instant claim(s) as the Regents previously prevailed on this identical legal issue in the Los Angeles Superior and the California Court of Appeals; (2) Sections 202 and 203 do not apply to the Regents because the Regents was granted broad constitutional autonomy over its internal affairs, which would necessarily include such administrative functions as payroll and the statutes are silent as to the Regents, and (3) the Regents is immune from penalties--such as those found in Section 203-- pursuant to Government Code section 818.

LEGAL STANDARD

When an employer fails to pay wages owed to an employee, the employee may seek administrative relief from the Labor Commissioner. (*Villalva v. Bombardier Mass Transit Corp.* (2025) 108 Cal.App.5th 211, 218.) If the employee so elects, the Labor Commissioner may hear evidence at what is known as a "Berman hearing". (*Id.*; § 98, subd. (a).)

Once a decision has been issued, "either party may 'appeal' the decision to the superior court, which reviews the claim de novo." (*Villalva*, 108 Cal.App.5th at 219; § 98.2, subd. (a).) "Although denoted as an 'appeal,' the trial de novo 'is neither a conventional appeal nor review of the Labor Commissioner's decision, but is rather a de novo trial of the wage dispute.' [Citation.]" (*Villalva*, 108 Cal.App.5th at 219.) The decision of the commissioner is entitled to no weight whatsoever, and the proceedings are truly a trial anew in the fullest sense. (*Id.*)

DISCUSSION

Collateral Estoppel

The Regents seeks to foreclose Rockwell from bringing his claims because the Regents previously prevailed on the identical legal issue raised in the Rockwell case, namely whether the Regents is subject to Sections 202 and 203. Rockwell was not a party in the cases in which the legal issue was decided in the Regents' favor.

The general rule is that preclusion is not applicable to nonparties. (*Taylor v. Sturgell* (2008) 553 U.S. 880, 893.) This is because due process requires a party have an opportunity to be heard in court. (*Id.*) "In accordance with due process, [issue preclusion] can be asserted only against a party to the first lawsuit, or one in privity with a party." (*DKN Holdings*, 61 Cal. 4th at 824.)

In California, courts have embraced a broad and "practical concept of privity." *Castillo v. Glenair, Inc.* (2018) 23 Cal. App. 5th 262, 276-77, 232 Cal. Rptr. 3d 844.) "Privity requires the sharing of 'an identity or community of interest,' with 'adequate representation' of that interest in the first suit, and circumstances 'such that the nonparty should reasonably have expected to be bound' by the first suit." (*DKN Holdings*, 61 Cal. 4th at 826 (quoting *Clemmer v. Hartford Ins. Co.* (1978) 22 Cal. 3d 865, 875).)

In *Taylor v. Sturgell*, the U.S. Supreme Court held that “[a] party’s representation of a nonparty is ‘adequate’ for preclusion purposes only if, at a minimum: (1) The interests of the nonparty and her representative are aligned, and (2) either the party understood herself to be acting in a representative capacity or the original court took care to protect the interests of the nonparty.” (533 U.S. at 900.)

The California Supreme Court has cited *Taylor* favorably for its holdings regarding nonparty issue preclusion. (See, e.g. *Arias v. Super. Ct.* (2009) 46 Cal. 4th 969, 987 (noting that nonparty employees would not be bound by prior judgment where they did not receive notice or have opportunity to be heard) (citing *Taylor*, 533 U.S. at 900-01).

Here, the Regents argues that the interests of Rockwell and the other former UCLA employees in the prior actions are aligned because they left UCLA around the same time (2019, 2021 and 2022), they all made claims with the DIR pursuant to Sections 202 and 203, and all claims were accepted by the DIR. (Motion at 8.) Without deciding whether these facts support a finding of alignment, the Court concludes that the Regents has not presented evidence that the other former employees (Newman and Totrakam) understood they were acting in a representative capacity for Rockwell or that the courts in those cases took care to protect the interests of Rockwell.

The Regents also argues preclusion against DIR. But DIR is not the party in this case. In any event, “[n]onmutual offensive collateral estoppel is not available against a government entity.” (*K.G. v. Meredith* (2012) 204 Cal.App.4th 10.)

By analogy, in *United States v. Mendoza*, 464 U.S. 154, 78 L. Ed. 2d 379, 104 S. Ct. 568 (1984), the Supreme Court rejected a claim of collateral estoppel against the federal government. The Supreme Court reasoned that the government was situated differently from private parties for issue preclusion purposes:

We have long recognized that the Government is not in a position identical to that of a private litigant, both because of the geographic breadth of government litigation and also, most importantly, because of the nature of the issues the government litigates . . . The government is a party to a far greater number of cases on a nationwide basis than even the most litigious private entity Government litigation frequently involves legal questions of substantial public importance Because of those facts the government is more likely than any private party to be involved in lawsuits against different parties which nonetheless involve the same legal issues.

Id. at 159-60 (internal quotation marks and citations omitted).

The Supreme Court expressed concern that by applying estoppel against the government the development of the law would be stunted: “A rule allowing nonmutual collateral estoppel against the government in such cases would substantially thwart the development of important questions of law by freezing the first final decision rendered on a particular legal issue.” (*Id.* at 160.)

The same considerations that counsel against applying nonmutual offensive collateral estoppel against the federal government on questions of law apply equally to doing so against a state agency. A state agency might be called on to litigate often and in multiple fora against diverse litigants about questions of law with broad import. Applying collateral estoppel in this situation would risk that an important legal issue is inadequately considered because of the “freezing effect” against which the *Mendoza* court warned.

In sum, the Court declines to apply collateral estoppel against Rockwell.

Constitutional Autonomy

The Regents next argues that applying sections 202 and 203 to the Regents would be unconstitutional. The Court agrees.

Article IX, section 9 of the California Constitution provides: “(a) The University of California shall constitute a public trust, to be administered by the existing corporation known as ‘The Regents of the University of California,’ with full powers of organization and government, subject only to such legislative control as may be necessary to insure the security of its funds and compliance with the terms of the endowments of the university and such competitive bidding procedures as may be made applicable to the university by statute for the letting of construction contracts, sales of real property, and purchasing of materials, goods, and services. . . .”

This section “grants the Regents broad powers to organize and govern the university and limits the Legislature’s power to regulate either the university or the Regents.” (San Francisco Labor Council v. Regents of Univ. of Cal. (1980) 26 Cal.3d 785, 788.) The Regents have general rule-making power in regard to the University and are fully empowered with respect to the organization and government of the University. (Id.)

“[T]he power of the Regents to operate, control, and administer the University is virtually exclusive.” (Id.) “[T]he University is intended to operate as independently of the state as possible.” (Id. at 789.) Thus, the Regents have “general immunity from legislative regulation.” (Id. at 788.)

“The Regents, however, [is] not entirely autonomous.” (Gomez v. Regents of University of California (2021) 63 Cal.App.5th 386, 393.) “The Legislature may regulate the Regents’ actions in three areas: (1) the Regents cannot compel appropriations for university salaries, because the Legislature is vested with the power of appropriation; (2) statutes that express the state’s general police power, such as workers’ compensation laws, apply to the Regents; and (3) when legislation regulating public agency activity addresses matters of statewide concern not involving internal university affairs, the legislation may be made applicable to the Regents.” (Campbell v. Regents of University of California (2005) 35 Cal.4th 311, 321.)

Courts have “consistently held the Regents are exempt from statutes regulating the wages and benefits of employees and other workers, including those pertaining to prevailing wages, overtime pay, and indemnification for the cost of work uniforms and maintenance, on the ground those matters are internal affairs of the university that do not come within any of the exceptions to constitutional immunity.” (Goldbaum v. Regents of University of California (2011) 191 Cal.App.4th 703, 706; see also Gomez, 63 Cal.App.5th at p. 389 [concerning timekeeping procedures that resulted in former employees being paid less than the minimum wage for all hours worked].)

Accordingly, any application of sections 202 and 203 to the Regents is unconstitutional.

Statutory Interpretation

The Regents argues that traditional principles of statutory interpretation preclude application of sections 202 and 203 to the Regents. Again, the Court agrees.

Article XI, section 9 of the California Constitution provides that the University of California is a “public trust” with “full powers of organization and government.” In general, a governmental agency such as the Regents is not subject to a general statute. (Wells v. One2One Learning Foundation (2006) 39 Cal.4th 1164, 1192 (“A traditional rule of statutory construction is that, absent express words to the contrary, governmental agencies are not included within the general words of a statute.”).)

With respect to the Labor Code, “provisions of the Labor Code apply only to employees in the private sector unless they are specifically made applicable to public employees.” (Campbell, 35 Cal.4th at 330 (internal quotations and citation omitted).) Here, Labor Code §§ 202 and 203 do not state whether their provisions expressly regulate the Regents or its employees.

Section 202 provides, in part: “If an employee not having a written contract for a definite period quits his or her employment, his or her wages shall become due and payable not later than 72 hours thereafter, unless the employee has given 72 hours previous notice of his or her intention to quit, in which case the employee is entitled to his or her wages at the time of

quitting...”

Section 203 provides: “(a) If an employer willfully fails to pay, without abatement or reduction, in accordance with Sections 201, 201.3, 201.5, 201.6, 201.8, 201.9, 202, and 205.5, any wages of an employee who is discharged or who quits, the wages of the employee shall continue as a penalty from the due date thereof at the same rate until paid or until an action therefor is commenced; but the wages shall not continue for more than 30 days....” (Emphasis added.)

Because Sections 202 and 203 do not expressly regulate the Regents or its employees, by their plain language these statutes do not apply to the Regents or its employees. (See Campbell, 35 Cal.4th at 330 [“Generally ... provisions of the Labor Code apply only to employees in the private sector unless they are specifically made applicable to public employees.”]; Johnson v. Arvin-Edison Water Storage Dist. (2009) 174 Cal.App.4th 729, 736 (Johnson) [“traditionally, ‘absent express words to the contrary, governmental agencies are not included within the general words of a statute’”].)”

In its award, the DIR relied on Section 220(b) to conclude that Sections 202 and 203 can be applied against the Regents. The DIR’s order states, “It is the enforcement position of the Labor Commissioner that employment with [THE REGENTS] falls within the category of ‘all other employment’ [of Section 220(b)]; therefore, [THE REGENTS] is expressly covered by Labor Code sections 201-203”. (See, Exhibit B to Jones Decl., Page 4.)

The DIR’s interpretation of Section 220(b) is incorrect. Section 220(b) states: “(b) Sections 200 to 211, inclusive, and Sections 215 to 219, inclusive, do not apply to the payment of wages of employees directly employed by any county, incorporated city, or town or other municipal corporation. All other employments are subject to these provisions.” (Emphasis added.)

While section 220(b) does not refer to public universities, it refers to “other municipal corporations.” The California Supreme Court has held that “municipal corporation” as used in Section 220(b) includes “public corporations or quasi-municipal corporation”. “The only reasonable interpretation of [Section 220(b)] is that the Legislature knew from the decided cases that ‘incorporated city or town’ referred to a municipal corporation in the strict sense, and intended that the additional term ‘or other municipal corporation’ should refer to municipal corporations in the commonly accepted sense—namely, public corporations or quasi-municipal corporations. Any other interpretation would give no meaning to the term ‘or other municipal corporation.’” (Stone, 16 Cal.5th at 1070-1071 (emphasis added) (internal citations omitted).)

The Regents is just such an entity. The California Supreme Court has held that the University is “a public corporation”, and thus it fits squarely within the exception of Section 220(b). (Regents of Univ. of California v. Superior Ct. (1976) 17 Cal. 3d 533, 536.)

In sum, because provisions of the Labor Code apply only to private sector employees unless they are specifically made applicable to public employees; sections 202 and 203 do not expressly reference the Regents, and section 220(b) does not permit the application of these sections to the Regents.

Immunity

The Regents argues that even if Labor Code §§ 202 and 203 applies to it, Government Code § 818 would shield it from waiting time penalties. The Court agrees.

Section 818 provides, “Notwithstanding any other provision of law, a public entity is not liable for damages awarded under Section 3294 of the Civil Code or other damages imposed primarily for the sake of example and by way of punishing the defendant.”

Here, Labor Code § 203 provides that if an employer willfully fails to timely pay final wages, “the wages of the employee shall continue as a penalty from the due date thereof at the same rate until paid or until an action therefor is commenced,” up to 30 days. “Section 203 is not designed to compensate employees for work performed. Instead, it is intended to encourage employers to pay final wages on time, and to punish employers who fail to do so.” (Pineda v. Bank of America, N.A. (2010) 50 Cal.4th 1389, 1401 1402.)

Because Section 203 penalties have no compensatory purpose, they are strictly punitive in nature. Accordingly, the Regents is immune from Section 203 penalties under Government Code § 818.

CONCLUSION

Based on the foregoing, the Court GRANTS the Regents' motion for determination of appeal as a matter of law and reverses the ruling of the DIR.

IT IS SO ORDERED.

DATED: September 18, 2026 _____

Edward B. Moreton, Jr.

Judge of the Superior Court